WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ZAMBIA

Africa

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Lusaka	Capital and commercial centre; seat of government, the central bank and the main financial and services cluster	Financial services, construction, retail, agro-processing
Copperbelt Province (Kitwe, Ndola, Chingola)	Historic heart of Zambian copper mining and processing, with major operations such as Mopani now under new ownership and investment	Copper mining and smelting, mining services, manufacturing
North-Western Province (Solwezi)	The newer copper frontier, home to First Quantum's Kansanshi operation, the country's largest producer group accounting for almost half of national output	Copper and cobalt mining, mining supply chains, logistics
Lobito Corridor link (Zambia–Angola)	Planned 515 km rail line in Zambia linking the copper belt to Angola's Atlantic port of Lobito, with financial close targeted for Q4 2027	Rail, logistics, mining exports, agriculture
Northern corridor to Dar es Salaam (TAZARA)	Rail and road link to Tanzania's Indian Ocean ports, offering a second export route for copper and inbound cargo	Rail and road logistics, cross-border trade
Southern Province (Livingstone, Kariba)	Victoria Falls tourism hub and site of Zambezi hydropower, which supplies most of Zambia's electricity	Tourism, energy, agriculture
Multi-Facility Economic Zones (MFEZs)	Designated zones where foreign investors can access a 10-year tax holiday, according to the Zambia Development Agency	Manufacturing, mineral processing, agro-industry

INVESTOR ENTRY ROUTES

- Zambia Development Agency (ZDA), the national investment promotion agency, providing investor registration, facilitation and access to incentives
- Multi-Facility Economic Zones (MFEZs) offering a 10-year tax holiday for qualifying foreign investment, as announced by the ZDA in March 2026
- Mining sector entry through licensing by the Ministry of Mines and Minerals Development, with the government targeting 3 million tonnes of copper a year by 2031

- Bank of Zambia oversight of a flexible, market-determined kwacha; exchange-rate flexibility and deeper foreign-exchange markets are commitments under the IMF-supported programme
- Joint ventures and partnerships with state investment holdings in mining and energy, and public-private partnerships in infrastructure overseen by the Ministry of Finance and National Planning
- Lobito Corridor infrastructure participation via the Africa Finance Corporation-led Zambia rail project, which is raising debt and equity ahead of a targeted Q4 2027 financial close

MARKET-ENTRY OBSERVATION

Zambia in October 2026 is a recovery story gaining momentum. Real GDP grew 7.7% year-on-year in the first quarter of 2026, led by agriculture, after 4.6% growth in 2025, and the IMF projects 5.6% growth for 2026 as mining and power output rise. Copper production reached a record of about 890,000 tonnes in 2025, with the government expecting output to pass 1 million tonnes in 2026 and targeting 3 million tonnes by 2031; mining investment commitments exceeded $10 billion during President Hakainde Hichilema's first term. FDI rose to $1.24 billion in 2024, the highest since 2015, and annual inflation fell to 6.1% in September 2026, the lowest since 2018, allowing the Bank of Zambia to cut its policy rate by 250 basis points to 10.75%. President Hichilema's re-election in August 2026 with around 61% of the vote provides policy continuity, and IMF staff reached agreement on a new $1.47 billion, 36-month Extended Credit Facility on 9 October 2026.

Zambia's main structural challenge is completing its financial repair while broadening growth beyond copper, which earns more than 70% of export revenue. After its 2020 default, Zambia has finalised agreements covering about 94% of the $13.3 billion of external debt under restructuring, prompting S&P to upgrade the sovereign to CCC+ (stable) in December 2025, and the IMF projects public debt to fall from 133% of GDP in 2023 to about 78% in 2026. A 2024 drought exposed reliance on hydropower, which provides around 85% of generation capacity, yet copper output still reached a record in 2025. The new IMF programme targets a primary surplus of 3% of GDP by 2029 and greater transparency in mining licensing, while gross reserves of $6.1 billion provide a cushion. For investors, these priorities create opportunities in solar and diversified power generation, mineral processing, agriculture and the Lobito and northern export corridors.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Completion of debt restructuring	Agreements cover about 94% of the $13.3 billion external debt under restructuring, with some bilateral and commercial deals still outstanding	A new IMF programme and falling debt ratios support confidence; investors can track the remaining agreements as a catalyst for further rating upgrades
Concentration on copper	Copper accounts for more than 70% of export earnings, linking revenues and the kwacha to global copper prices	Strong demand for copper in the energy transition supports the outlook; diversification into agriculture, processing and tourism offers entry points
Power supply and hydropower dependence	Hydropower provides about 85% of generation capacity, and the 2024 drought constrained supply to homes and industry	Captive solar, power purchase arrangements and diversified generation are both a mitigation and a growing investment opportunity
Fiscal pressures	Revenue shortfalls and higher Food Reserve Agency spending weakened the 2026 primary balance, according to the IMF	The new IMF programme commits to reversing temporary fuel-tax relief and clearing VAT refund and payment arrears, which benefits suppliers and exporters
Landlocked geography	Exports travel long distances by road and rail to ports in Tanzania, South Africa, Namibia and Angola, adding cost	Lobito Corridor rail and the northern routes are expanding options; logistics and infrastructure investors can participate directly
Regulatory predictability	Investors have historically cited inconsistent legal and regulatory policies, and governance reform is a focus of the IMF programme	Use ZDA facilitation, stabilised contractual terms and international arbitration clauses, and engage early with the Ministry of Mines on licensing
Currency movements	The kwacha is market-determined and can respond to copper prices and capital	Apply standard hedging; falling inflation and interest rates are improving local

Issue	Potential Impact	Possible Mitigation
	flows, although it has been resilient in 2026	financing conditions

INVESTOR RISK NOTE

Zambia's risk profile has improved markedly since its 2020 default. Debt restructuring is largely complete, S&P has upgraded the sovereign to CCC+ with a stable outlook, inflation is at its lowest since 2018 within the 6–8% target band, and the Bank of Zambia has been able to cut rates four times in a row. A 97.85% take-up of a 2026 cash tender for outstanding notes and a new IMF staff-level agreement point to growing confidence in the policy framework. The main considerations are the completion of the remaining creditor agreements, copper-price exposure, power-supply reliability after the 2024 drought, and fiscal slippage in 2026, which the new IMF programme is designed to correct. The August 2026 election delivered a clear result and policy continuity. Investors should build copper-price and power scenarios into project planning, and can take comfort from rising reserves, a recovering growth path and a government publicly committed to private-sector-led growth.

MARKET ACCESS

Zambia is a member of the Southern African Development Community (SADC) and the Common Market for Eastern and Southern Africa (COMESA), giving preferential access to large regional markets, and is a party to the African Continental Free Trade Area (AfCFTA) and a WTO member. Its location at the centre of southern Africa, bordering eight countries, positions it as a regional hub. Copper is exported mainly to Switzerland and China, with the Democratic Republic of Congo a major regional market. Exports move through ports in Tanzania, South Africa, Namibia and Mozambique, and the US-backed Lobito Corridor rail link to Angola's Atlantic coast will add a direct western route once complete, targeted for 2030.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Hakainde Hichilema)	Re-elected in August 2026; sets the private-sector-led growth agenda, including the 3 million-tonne copper target	Primary reference point for Zambia's strategic and investment direction
Zambia Development Agency (ZDA)	National investment promotion agency; administers investor registration and MFEZ incentives	Standard first point of contact for market entry and incentive guidance
Bank of Zambia	Monetary authority; manages the flexible kwacha and cut the policy rate to 10.75% in September 2026	Relevant for currency, financing and banking-sector matters
Ministry of Finance and National Planning	Leads fiscal policy, debt restructuring and the new IMF programme, and oversees public-private partnerships	Key counterpart on fiscal incentives, PPPs and sovereign-linked projects
Ministry of Mines and Minerals Development	Issues mining licences and drives the copper-expansion strategy	Essential for any mining or mineral-processing investment
ZCCM Investments Holdings	State-controlled holding company with stakes across the Zambian copper sector	Potential partner for mining joint ventures and value-addition projects
Africa Finance Corporation (Lobito Corridor)	Lead developer of the 515 km Zambia rail link to the Lobito corridor	Key counterpart for logistics, rail and corridor-linked investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Zambia, which works with the US Embassy to promote bilateral trade and investment, and the Zambia Chamber of Commerce and Industry are the leading business associations, alongside the Zambia Chamber of Mines for the extractive sector. The Zambia Development Agency hosts country-specific business forums with visiting delegations, such as its 2026 Finland Business Forum. Major mining houses including

First Quantum, Barrick and Abu Dhabi's International Resources Holding maintain substantial in-country presence and are a valuable source of practical intelligence. The IMF, World Bank and African Development Bank are active in the country, while the Africa Finance Corporation, the US International Development Finance Corporation and the Development Bank of Southern Africa are leading financiers of the Lobito Corridor.

INVESTOR PROFILE BEST SUITED

Zambia suits investors seeking exposure to a recovering economy at the heart of global copper supply: mining and mining-services investors positioned for the drive toward 3 million tonnes a year; renewable-energy and power investors meeting strong demand from mines and industry; infrastructure and logistics investors linked to the Lobito and northern corridors; and agriculture and agro-processing investors building on the sector that led growth in early 2026. Manufacturers can benefit from MFEZ tax holidays and SADC and COMESA access. Investors should plan for copper-price cycles and power-supply variability, while benefiting from falling inflation and lower interest rates.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Zambia Development Agency and confirm incentive terms
Open direct dialogue with the ZDA on registration, sector incentives and the 10-year MFEZ tax holiday for qualifying projects.

STEP 2: Map opportunities in the copper value chain
Work with the Ministry of Mines, ZCCM Investments Holdings and major producers to identify mining, processing and services opportunities linked to the 3 million-tonne target.

STEP 3: Build power solutions into project design
Assess captive solar, power purchase agreements and grid reliability early, turning supply constraints into a competitive advantage.

STEP 4: Track the new IMF programme and debt milestones
Follow IMF Board approval, completion of remaining creditor agreements and rating actions as signals for financing costs and sovereign-linked opportunities.

STEP 5: Position for corridor and logistics growth
Engage the Africa Finance Corporation and corridor partners on Lobito and northern-route opportunities in rail, storage and freight.